

Q3 2024

Custom Managed Portfolios

Guardian Capital

Canadian Bond - RI

Quick facts

Asset class:
Canadian Bonds

Management style:
Income¹

Number of holdings:
19

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 1, 1994



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	5.09%	4.96%	14.33%	0.16%	0.98%	2.35%	5.26%
Benchmark ⁵	4.66%	4.28%	12.50%	- 0.22%	0.56%	2.22%	5.11%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	7.46%	-12.50%	- 2.52%	10.29%	6.50%	1.24%	2.67%
Benchmark ⁵	6.31%	-11.69%	- 2.54%	8.68%	6.87%	1.41%	2.52%

Standard deviation	3.21%	Sortino ratio	1.49	Downside capture	100%
Sharpe ratio	1.14	Beta (Equity)	0.95	Upside capture	92%

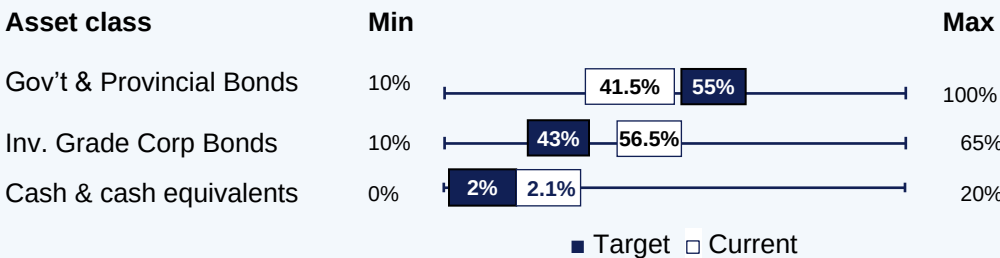
Largest holdings

1. CMHT 1.750 06/15/30	13.8%	6. ONTAR 4.650 06/02/41	5.8%
2. CMHT 3.550 09/15/32	9.7%	7. ONTAR 1.900 12/02/51	5.6%
3. BCPRV 5.400 06/18/35	8.5%	8. TD 5.177 04/09/34 '29	5.5%
4. BCPRV 4.150 06/18/34	7.8%	9. SLF 2.580 05/10/32 '27	5.4%
5. RY 5.228 06/24/30	6.5%	10. MFC 2.818 05/13/35 '30	5.2%

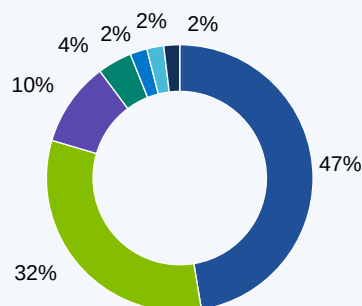
Portfolio attributes

Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average Current Yield	Portfolio turnover
3.79%	3.78%	A+	7.2	3.41%	48%

Target allocations

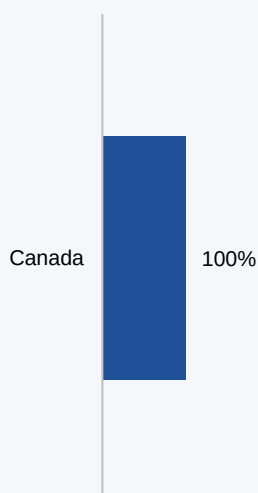


Sector breakdown



- Government Activity
- Financials
- Energy
- Utilities
- Technology
- Consumer Cyclicals
- Industrials

Geographic allocation



Quarterly commentary

Market Review

Bond markets rallied strongly this quarter, as inflation continued to moderate, and the Bank of Canada (BoC) cut its policy rate by 25 basis points in both July and September to 4.25%; and the U.S. Federal Reserve (Fed) also lowered the fed funds target rate by 50 basis points to 5%.

Global central banks elsewhere also increasingly took steps to move away from highly restrictive policy stances this quarter. The European Central Bank lowered its policy rate by a further 25 basis points in September, while the Bank of England cut its bank rate by 25 basis points in August; and central banks in Switzerland, Sweden, Denmark and New Zealand also made cuts in the quarter.

Domestically, the result was a bull-steepening of the yield curve (short term rates decreasing more than long-term rates) with the FTSE Canada Universe Bond Index up 4.66% and all major subcomponents also finishing in positive territory. Longer duration bonds (FTSE Canada Long Term Overall Bond Index +5.75%) notably outperformed their shorter duration counterparts (FTSE Canada Short Term Overall Bond Index, +3.4%) for the three-months ended September 30, reflecting shorter term bonds greater sensitivity to interest rate changes. Corporate bonds (FTSE Canada All Corporate Bond Index, +4.67%) closely matched government bonds performance in the period (FTSE Canada All Government Bond Index, +4.66%), as credit spreads on BBB-rated bonds continued to tighten, while credit spreads on AA and AAA-rated bonds ended the quarter slightly wider.

The anticipated ongoing easing cycle in both Canada and the U.S. is expected to remain a positive driver for fixed income assets in the months ahead. Rate volatility, however, appears likely to persist as markets reassess the path for policy rates against ongoing concerns over the economic outlook, escalating geopolitical tensions in the Middle East, uncertainties around the upcoming U.S. election and fiscal deficit outlook.

The Canadian dollar (CAD) appreciated marginally relative to the US dollar (USD) during the quarter, ending June at 1.3679 CAD per USD and closing the quarter at 1.3525 per USD.

Performance Attribution and Positioning

The Guardian Fixed Income SMA mandate¹ outperformed its benchmark over the third quarter of 2024, driven primarily by yield curve positioning.

From a performance attribution perspective, the mandate's overweight exposure of issues within the Financial and Provincial sectors provided the largest contribution to relative returns. The mandate's underweight exposure of issues within the Federal and Energy sectors detracted from performance. From a yield curve positioning standpoint, the mandate's relative overweight key rate duration exposures are in the 5, 7, and 10-year key rates.

During the quarter the mandate increased its relative overweight and underweight exposure in 5-year and 3-year key rates and continues to overweight issues within the Financial and Provincial sectors.

The mandate's portfolio is of higher credit quality that provides a similar yield carry relative to the benchmark. The Manager continues to actively seek attractive opportunities to enhance portfolio structure and relative total returns.

Outlook

The global economy has been resilient so far this year, as growth in the U.S. is expected to return to trend over the next few quarters. The rising slack in the Canadian economy, due to consumer spending, should recover as interest rates trend lower. The economies of the EU and Asia are slowly starting to improve. In all, recession risks look to be contained as the business cycle extends.

A global easing cycle under moderating growth, coupled with a fall in the stock-bond correlation (i.e., bonds providing a portfolio hedge), generally support a longer duration overweight. However, key risks such as inflation or wages reaccelerating, as well geopolitical and uncertainty around the outcome of the U.S. election, may result in bear-flattening yield curve or cause credit spreads to widen. As a result, relative to the benchmark, the Manager is leaning towards shorter duration but overweight credit with a bias towards higher quality and lower beta.

Investment manager overview

GUARDIAN CAPITAL LP

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange.

Investment philosophy

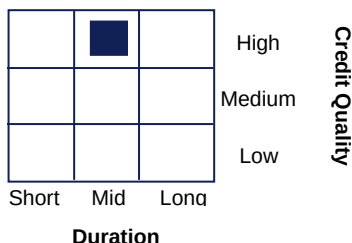
Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection, and implementation of a disciplined approach. The firm believes that there are numerous opportunities in the bond market without subjecting the portfolio to extreme interest rate calls

Investment process and risk controls

Guardian constructs fixed-income portfolios that emphasize the following factors: preservation of capital, liquidity/marketability, quality, diversification, and value-added trading. Guardian's approach to fixed-income management is value-driven. Its decision-making process includes five disciplines to overall portfolio construction. These are duration management, term structuring, sector weighting, security selection, and value-added trading.

Having limited the risk to the portfolio through constrained duration, Guardian actively structures the portfolio to take advantage of anticipated changes in the shape of the yield curve. In addition, sector weights will be adjusted to reflect spread levels available and expected. At times, the firm may have a heavier than average weighting in short-term Corporate bonds. Credit analysis is, therefore, an integral part of the decision-making process to ensure the portfolios benefit from the higher yields available, while avoiding potential downgrades and poorer quality issues

Fixed Income style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Income: To generate a steady stream of income

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is FTSE Canada Universe Bond Index

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